

National Bank For Financing Infrastructure And Development

October 08, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Long-term bank facilities	RBI	45,000.00	CARE AAA; Stable	Reaffirmed

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

Reaffirmation of the rating to long-term bank facilities of National Bank For Financing Infrastructure And Development (NaBFID) factors in its comfortable capitalisation levels, diversified resource profile, healthy asset quality, and strong liquidity profile. The rating continues to favourably factor in NaBFID's strategic position as one of apex financial institutions (FI) formed with an objective of development and financing of infrastructure projects in India under the National Bank for Financing Infrastructure and Development (NaBFID) Act, 2021, with Government of India (GoI) holding 100% stake in the institution.

The rating also considers experienced management team and continued support from the GoI in the form of initial capital infusion of ₹20,000 crore and additional grant of ₹5,000 crore, and a tax holiday for 10 years to support its profitability.

These rating strengths are partially offset by NaBFID's limited track record of operations where the asset quality of its loan book remains untested and would be a key monitorable in the near-to-medium term. CARE Ratings Limited (CareEdge Ratings) also expects an increase in the leverage of NaBFID in the medium term to support its business growth.

CareEdge Ratings expects NaBFID to continue receiving support from the GoI, considering its strategic importance for the development of infrastructure in the country.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could individually or collectively lead to positive rating action/upgrade:

Not applicable

Negative factors: Factors that could individually or collectively lead to negative rating action/downgrade:

- Material dilution in support philosophy of GoI or GOI shareholding directly or indirectly (through quasi government entities) to be below 51%.
- Significant weakening in asset quality with gross non-performing assets (GNPA) remaining over 5% of total advances on a sustained basis.
- Significant deterioration in capitalisation levels.

Analytical approach: Standalone

CareEdge Ratings has considered standalone business, financial, and management risk profiles of NaBFID, and factored in its sovereign ownership and the expectation of strong support from the GoI.

Outlook: Stable

Outlook is stable considering CareEdge Ratings' expectation that NaBFID would remain a strategically important entity for the GoI and continue receiving need-based support from the GoI, while reporting a healthy business growth and maintaining comfortable asset quality and capitalisation levels.

Detailed description of key rating drivers

Key strengths

Strategic importance to and strong support from the GoI

NaBFID was formed with the enactment of the 'NaBFID Act 2021' on April 19, 2021, and initiated lending operations in the last quarter of FY23. It is designated as the fifth All India Financial Institution (AIFI) indicating its strategic importance as an apex financial institution for financing and development of the infrastructure sector in India. As on June 30, 2026, the GoI holds 100% stake in NaBFID, and has provided initial equity capital of ₹20,000 crore and additional grant of ₹5,000 crore to the institution to enable it raising funds at a competitive cost.

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority

²Complete definitions of the ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

While the Act provides for dilution in GoI's shareholding up to 26%, GoI is expected to maintain majority and controlling stake in the long-term, considering the institutions' strategic importance and the GoI's focus on development of infrastructure in the country. CareEdge Ratings expects need-based capital support to NaBFID from GoI in the medium term to support growth of its lending portfolio. The institution has representation from GoI through two Nominee Directors and has the power to appoint the Chairman of the Board.

The NaBFID Act provides certain enabling features to the institution, such as access to guarantees from GoI for its overseas borrowings at lower guarantee commission/fees of 0.1%, reimbursement of hedging cost from the government, 10-year tax holiday and market standards applied on the employee remuneration. These provisions are expected to allow the institution to remain competitive and support projects where higher lending rates may make them unviable.

Experienced management team

NaBFID's senior management team comprises personnel with several years of experience in the banking and finance industry. The Board comprises 12 Directors, with two GoI Nominee Directors and six independent directors. The Board of Directors includes Rajkiran Rai G, who is the Managing Director (MD) and manages operations at NaBFID. Rajkiran Rai G is the former Chief Executive Officer (CEO) of Union Bank of India and has over 30 years of experience in the banking and finance sector.

In line with NaBFID Act, 2021 the Board has appointed B S Venkatesha as the Deputy Managing Director – Chief Risk Officer (DMD-CRO), Monika Kalia as the Deputy Managing Director - Chief Financial Officer (DMD-CFO), and Samuel Joseph Jebaraj, Deputy Managing Director – Lending and Project Finance (DMD- L&PF) who have served in senior positions at public sector and private sector banks.

Comfortable capitalisation

NaBFID is currently well-capitalised, supported by an initial share capital of ₹20,000 crore and an interest-free grant of ₹5,000 crore from the GoI, and its net worth stood at ₹35,221 crore as on June 30, 2026. The institution has in-principal sanctioned cumulative loans of ₹683,382 crore and disbursed loans of ₹163,699 crore up to June 30, 2026, and its outstanding loan book was at ₹109,259 crore. In the initial years, NaBFID funded its loan book through equity and started leveraging by raising debt from FY24. Over the last two years, NaBFID has witnessed increase in leverage and its overall gearing (includes fair value of hedged bonds) stood at 3.43x as on June 30, 2026 (March 31, 2024: 0.89x).

NaBFID plans to reach cumulative in-principal sanctions of up to ~₹8 lakh crore by end of FY27 and would increase its borrowings and leverage in the near-to-medium term. NaBFID plans to keep gearing below 8x in the medium term while maintaining sufficient cushion over the minimum regulatory requirement of capital adequacy ratio (CAR) as prescribed by the Reserve Bank of India (RBI). The NaBFID Act provides for additional financial support through infusion and grants from GoI, which although, not required in the near term, provides comfort regarding the institution's resource raising ability. NaBFID reported CAR of 45.13% with Common Equity Tier (CET) I Ratio of 44.43% as on June 30, 2026 (44.22% and 43.61%, respectively, as on March 31, 2026).

Going forward, NaBFID's loan mix will play a critical role in shaping its capital consumption over the coming years. The pace of growth and the structure of its loan portfolio will determine the pace at which the capital is utilised. Although the bank's internal capital generation is expected to support its expansion, there is a possibility that it may not fully keep pace with its growth. In such a scenario, CareEdge Ratings anticipates that the GoI will continue to extend need-based financial support, although such assistance may not be needed in the immediate future.

Key weaknesses

Limited track record of operations with untested asset quality of the loan book

NaBFID was formed in 2021 and started lending operations in FY23. Being in early stages of its operations, the institution is focusing on building its business by investing in staff, and information technology (IT) systems, and processes as part of its growth strategy. Disbursements began in the fourth quarter of FY23.

Initially, NaBFID grew its advance book by funding operational and brownfield projects and is now gradually expanding into greenfield projects. As on June 30, 2026, NaBFID had cumulative in-principal sanctions of ₹683,382 crore as on June 30, 2026, of which major proportion was to sectors, including roads, power, and renewable energy (which accounted for 70% of total sanctioned loans). Approximately, 43% of these sanctions are for greenfield projects. Of the total sanctioned amount, ₹163,699 crore till June 30, 2026, had been disbursed and ₹109,259 crore (excluding credit substitutes) was outstanding as on June 30, 2026. The institution would have a mix of single and consortium lending.

Of the advances portfolio, ~100% is on floating interest rates, which helps the bank to pass on increase in cost of funds. The institution has a dedicated and experienced team, and building up of risk management systems and processes, which would help in growing the loan book profitably. Considering the inherent vulnerability of the infrastructure funding business, NaBFID's track record of scaling up business and maintaining asset quality remains to be seen.

Stable profitability and diversifying resource profile; but remains a monitorable

NaBFID has been reporting profit for last four years. However, the profitability indicators do not truly reflect the business as initial funding has been through equity capital with minimal leverage and significant proportion of the income is generated through funds deployed in cash and bank balances due to pending disbursements. NaBFID reported profit after tax (PAT) of ₹3,037 crore on total income of ₹7,585 crore in FY26 compared to PAT of ₹2,191 crore on total income of ₹5,208 crore in FY25 and ₹802 crore on a total income of ₹2,896 crore in Q1FY27. Per the Act, NaBFID enjoys a ten-year tax holiday, which would help the organisation's profitability in the initial years. Bank expects return on total assets (ROTA) to slightly decline in FY27 if there is increase in interest rates by RBI.

As the institution scales up its loan book by increasing leverage, its margins would moderate in the medium term and hence keeping asset quality under control through prudent underwriting and maintaining comfortable capitalisation would be key monitorable. NaBFID's funding mix comprises capital market borrowings, which are fixed interest rate borrowings and bank lending and External Commercial Borrowing (ECB), which are floating interest rate. To mitigate the interest rate risk, the bank has effectively converted all exposures to floating rates through use of derivatives.

NaBFID remains well capitalised in initial stages of operations and as it scales up business, its ability to raise long-term funds, considering long-term nature of assets, at competitive rates from diverse sources, would be a key monitorable.

Liquidity: Strong

Per the asset liability maturity (ALM) profile dated June 30, 2026, there was no negative cumulative mismatch in time buckets up to one year. NaBFID has debt repayment/servicing of ₹11,390 crore up to one year against which it had loan receivables of ~₹3,512 crore and cash and bank balance of ₹22,074 crore.

Apart from cash and bank balance, the institution also has access to unutilised lines of ~₹10,550 crore from multiple banks. However, as the institution scales up further, its ability to maintain a healthy liquidity to tide over short-term ALM mismatches will be a key rating monitorable.

Assumptions/Covenants: Not applicable

Environment, social, and governance (ESG) risks: Not applicable

Applicable criteria

[Definition of Default](#)

[Rating Outlook and Rating Watch](#)

[Financial Ratios – Financial Sector](#)

[Factoring Linkages – Government Support](#)

[Non-Banking Financial Companies](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Financial institution

NaBFID is a specialised Development Finance Institution in India aimed at supporting the country's infrastructure sector, which can significantly gain from an enabling credit flow by means of attractive instruments and channelised investment. NaBFID was set up in 2021, by an Act of the Parliament (The NaBFID Act, 2021), with essential objectives of addressing gaps in long-term non-recourse finance for infrastructure development, strengthening development of bonds and derivatives markets in India, and sustainably boosting the country's economy. The principal idea behind the setup of NaBFID is to provide a dedicated and specialised institution focused on addressing the long-term financing needs of the infrastructure sector in India. NaBFID will play a crucial role in driving the development of innovative financing instruments and deep bond and derivatives markets, further supporting infrastructure funding and promoting best practices in financing and data-driven risk management. The institution is regulated and supervised by RBI as an AIFI under the RBI Act, 1934.

Standalone Financials:

Brief Financials (₹ crore)	March 31, 2025 (A)	March 31, 2026 (A)	Q1FY27 (UA)
Total income	5,208	7,585	2,896
Profit after tax (PAT)	2,191	3,037	802
Assets under management (Net Loan Book)	56,620	1,02,712	1,09,259
On-book gearing (x)*	1.57	3.07	3.43
AUM / tangible net worth (TNW) (x)	1.83	2.99	7.64
Gross non-performing assets (NPA) / gross stage 3 (%)	0	0	0
Return on managed assets (ROMA) (%)	3.17	2.67	2.10
Capital adequacy ratio (CAR) (%)	73.93	44.22	45.13

A: Audited; UA: Unaudited; Note: these are latest available financial results

*includes fair value of hedged bonds

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1

Lender details: Annexure-4

Disclosure on facilities/instruments and name of regulators:

A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Term Loan-Long Term	RBI	NA	-	-	-	Nov-2034	45,000.00	CARE AAA; Stable

NA: Not applicable

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Term Loan-Long Term	LT	45000.00	CARE AAA; Stable	1)CARE AAA; Stable (29-May-26)	1)CARE AAA; Stable (22-Sep-25)	1)CARE AAA; Stable (13-Sep-24)	-

LT: Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not applicable**Annexure-4: Lender details**To view lender-wise details of bank facilities please [click here](#)

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

Contact us

Media Contact Mradul Mishra Director CARE Ratings Limited Phone: +91-22-6754 3596 E-mail: mradul.mishra@careedge.in	Analytical Contacts Vineet Jain Senior Director CARE Ratings Limited Phone: +91 22 6754 3623 E-mail: vineet.jain@careedge.in
Relationship Contact Pradeep Kumar V Senior Director CARE Ratings Limited Phone: 044-28501001 E-mail: pradeep.kumar@careedge.in	Priyesh Ruparelia Director CARE Ratings Limited Phone: +91-22-6754 3593 E-mail: Priyesh.ruparelia@careedge.in
	Aditya R Acharekar Associate Director CARE Ratings Limited Phone: +91 22- 6754 3528 E-mail: aditya.acharekar@careedge.in

About us:

Established in 1993, CareEdge Ratings is one of the leading credit rating agencies in India. Registered under the Securities and Exchange Board of India, it has been acknowledged as an External Credit Assessment Institution by the Reserve Bank of India. With an equitable position in the Indian capital market, CareEdge Ratings provides a wide array of credit rating services that help corporates raise capital and enable investors to make informed decisions. With an established track record of rating companies over almost three decades, CareEdge Ratings follows a robust and transparent rating process that leverages its domain and analytical expertise, backed by the methodologies congruent with the international best practices. CareEdge Ratings has played a pivotal role in developing bank debt and capital market instruments, including commercial papers, corporate bonds and debentures, and structured credit. For more information: www.careratings.com

Disclaimer:

This disclaimer pertains to the ratings issued and content published by CARE Ratings Limited ("CareEdge Ratings"). Ratings are opinions on the likelihood of timely payment of the obligations under the rated instrument and are not recommendations to sanction, renew, disburse, or recall the concerned bank facilities or to buy, sell, or hold any security. Any opinions expressed herein are in good faith and are subject to change without notice. The rating reflects the opinions as on the date of the rating. A rating does not convey suitability or price for the investor. The rating agency does not conduct an audit on the rated entity or an independent verification of any information it receives and/or relies on for the rating exercise. CareEdge Ratings has based its ratings/outlook on the information obtained from reliable and credible sources. CareEdge Ratings does not, however, guarantee the accuracy, adequacy, or completeness of any information and is not responsible for any errors or omissions and the results obtained from the use of such information. The users of the rating should rely on their own judgment and may take professional advice while using the rating in any way. CareEdge Ratings shall not be liable for any losses that user may incur or any financial liability whatsoever to the user of the rating. The use or access of the rating does not create a client relationship between CareEdge Ratings and the user.

CAREEDGE RATINGS DISCLAIMS WARRANTY OF ANY KIND, EXPRESS, IMPLIED OR OTHER WARRANTIES OR CONDITIONS, TO THE EXTENT PERMITTED BY APPLICABLE LAWS, INCLUDING WARRANTIES OF MERCHANTABILITY, ACCURACY, COMPLETENESS, ERROR-FREE, NON-INFRINGEMENT, NON-INTERRUPTION, SATISFACTORY QUALITY, FITNESS FOR A PARTICULAR PURPOSE OR INTENDED USAGE.

Most entities whose bank facilities/instruments are rated by CareEdge Ratings have paid a credit rating fee, based on the amount and type of bank facilities/instruments. CareEdge Ratings or its subsidiaries/associates may also be involved with other commercial transactions with the entity. CareEdge Ratings does not act as a fiduciary by providing the rating. The ratings are intended for use only within the jurisdiction of India. The ratings of CareEdge Ratings do not factor in any rating-related trigger clauses as per the terms of the facilities/instruments, which may involve acceleration of payments in case of rating downgrades. However, if any such clauses are introduced and triggered, the ratings may see volatility and sharp downgrades. CareEdge Ratings has established policies and procedures as required under applicable laws and regulations which are available on its website.

Privacy Policy applies. For Privacy Policy please refer to https://www.careratings.com/privacy_policy

© 2026, CARE Ratings Limited. All Rights Reserved.

This content is being published for the purpose of dissemination of information required as per applicable law and regulations and CARE Ratings Limited holds exclusive copyright over the same. Any reproduction, retransmission, modification, derivative works or use or reference to the contents, in whole, in part or in any form, is prohibited except with prior express written consent from CARE Ratings Limited.

**For detailed Rating Report and subscription information,
please visit www.careratings.com**